Grandeur

The Consulting and Knowledge Cell of SSCBS

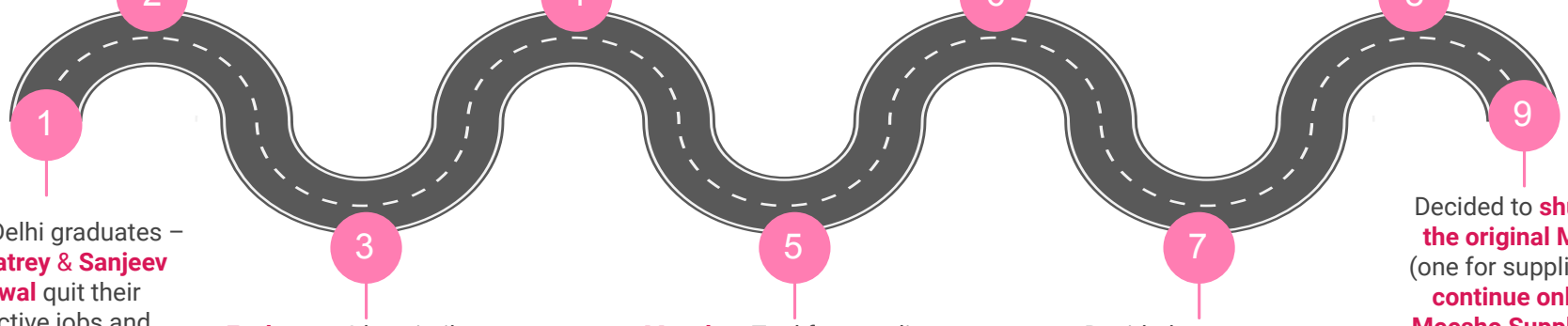
presents

Company Analysis

of

meesho

Journey of Meesho



1. Two IIT Delhi graduates – **Vidit Aatrey** & **Sanjeev Barnwal** quit their respective jobs and decided to do a startup together

2. They sat down together and started listing down their ideas on a spreadsheet. Finally, came up with the idea of **Fashnear**

3. **Fashnear** : Idea similar to what most new age startups are doing – **Hyperlocal Delivery**. Swiggy did with food. Grofers did with grocery. **Fashnear was going to do the same thing with fashion. Unfortunately, it did not work**

4. However, Fashnear helped them understand this market. They observed large no. of **suppliers selling their products through WhatsApp. So, they changed Fashnear to Meesho**

5. **Meesho** : Tool for suppliers to bring their business online and sell using platforms like WhatsApp

6. Soon realized that **half the users were not suppliers** (target consumers), but **housewives** who were running their own online reselling business through WhatsApp. Basically, they were acting as **'Resellers'**

7. Decided to operate a separate business for these two set of users:-
Meesho Supplier : for these new set of users called 'Resellers', mostly women.
Meesho : for original users, that is 'Suppliers'.

8. **Meesho Supplier** (one for resellers) **grew exponentially** on WhatsApp. **Meesho** (one for suppliers) was also **growing but at a slow pace**

9. Decided to **shut down the original Meesho** (one for suppliers) and **continue only with Meesho Supplier** (one for resellers), which was eventually **renamed simply as 'Meesho'**

REVENUE MODEL

COMMISSION

Just like other E-commerce platforms Meesho charges certain amount on the product to the seller. Charges depend upon the type of product. In 2019 Meesho earn a total commission of Rs.41 crore out of a total profit of Rs.80 crore.

PENALTY

If the seller fails to deliver the product, then Meesho charges a penalty to sellers. It is also a great source of earning for Meesho.

LOGISTICS

It also provides delivery & shipping facilities to their sellers; however, Meesho makes a distribution chain, earning a great amount through logistics. In 2019 Meesho earn Rs.36 Crore from Shipping.

REVENUE MODEL

RANK PUSH

If sellers want to rank on top on the Meesho platform or display their products on top to make it easily visible to resellers and increase their sale they can use rank push algorithm. For this Meesho charges a certain amount and earns a significant revenue.

DATA

Data as we all know is the new oil and Meesho has rich reserves of this particular form of oil. Meesho has rich database of suppliers and resellers that it can use for a variety of purposes to earn even higher revenue

OPPORTUNITIES

With the help of seller-buyer data, Meesho can easily start their own manufacturing in future and earn a higher profit margin. This has potential to take Meesho's business model to the next level.

Meesho can also launch their own Ecommerce / Direct selling platform with the help of their existing customer base.

BUSINESS MODEL

Meesho associates with the manufacturer and seller for the product and lists their product into the Meesho platform.

Sellers which includes primarily wholesalers who are interested in selling products over meesho registers themselves on the platform and put up products with the prices they'll be charging for the same

The company attracts the reseller through their extensive marketing. Then the Reseller has come on Meesho reselling platforms and resells the product via Facebook, Instagram, and other social networks.

If customers want to purchase a product, then they can place the order with the reseller. After receiving the order, the reseller adds their profit margin on that particular product to place the order

FINANCIALS

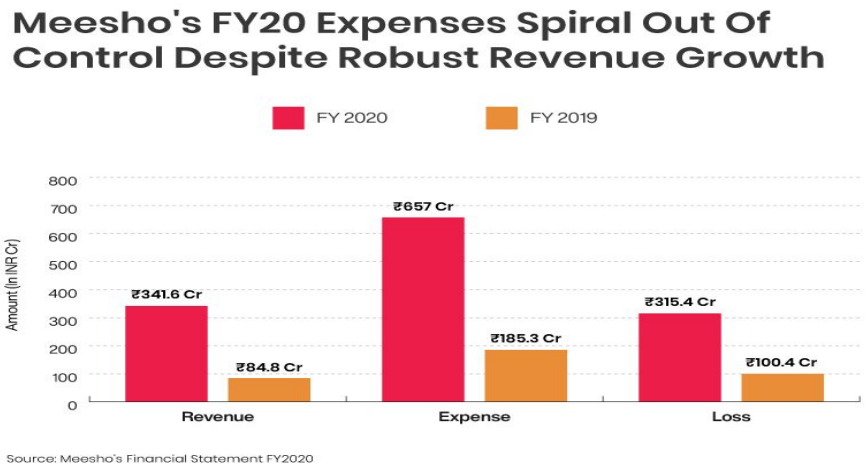
- It's has recorded a revenue of INR 341.6 Cr in FY2020, but with INR 657 Cr expenses
- Transportation distribution expenses hit Meesho the hardest with 38% share in total spending

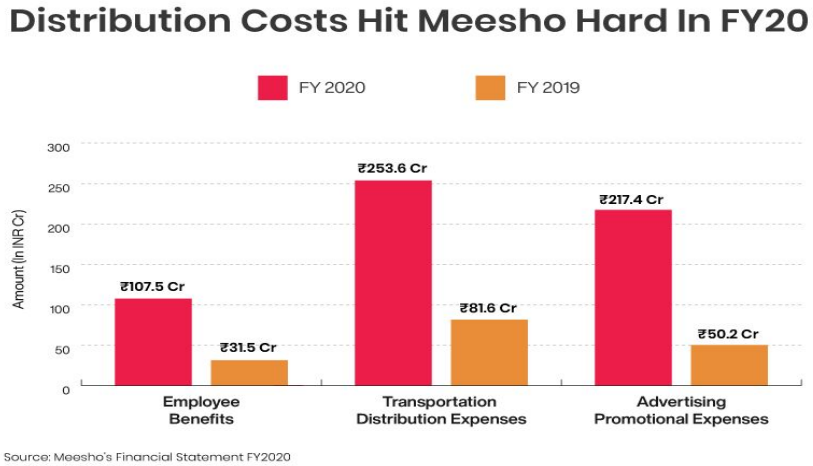
Meesho recorded a revenue of INR 341.6 Cr in FY20, ending March 31, 2020, representing a 4X spike from the INR 84.8 Cr revenue in 2019. In the same period, the company's expenses grew 3.5X to INR 657 Cr, leading to a loss of INR 315.4 Cr in the year, up from INR 100.42 Cr. Meesho spent INR 185.3 Cr in FY19, which is 15.8x the INR 10.97 Cr it spent in FY18.

FUNDING

Total Funding - $515.2M
Latest - April 2021 (Series-E) - $300M
Investors in series E - 6 Investors, lead by softbank vision fund

FINANCIALS





Transportation & Distribution expenses have increased significantly along with advertising promotional expenses in the past 2 years leading to increased losses.

COMPETITOR ANALYSIS

The market Meesho is operating in is expanding at an exponential rate, however Meesho is not alone in the race to capture this market. Many new players have also entered this market seeing a huge business opportunity ahead.

1. **GlowRoad :** Considered as a major competitor of Meesho. It is a hub of trendy products.
2. **Shop 101 :** Provides quality products at convenient prices. Hence it is good for resellers to earn higher margin rates
3. **DealShare :** It is one of the Meesho's top rivals. It is a private company that was founded in 2018 in Jaipur Rajasthan.
4. **Oberlo :** It is a dropshipping app that enables people to source products from AliExpress suppliers.
5. **Volusion :** It is a leader in ecommerce software solutions providing businesses, small and large, with an all in one ecommerce software platform that will cater to just about any online store.

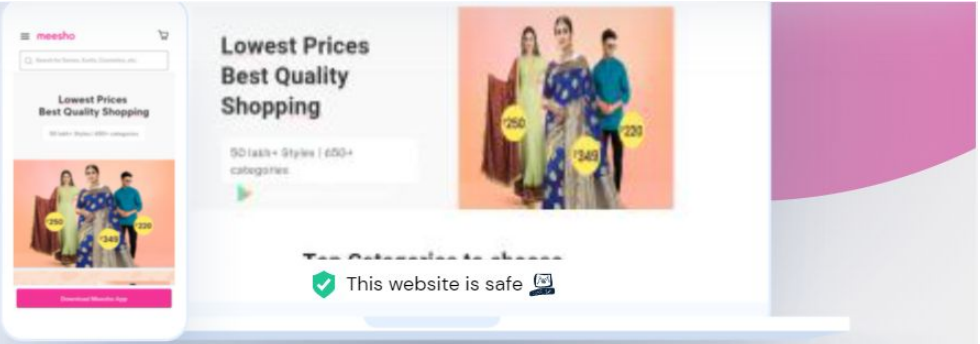
COMPETITOR ANALYSIS

	Meesho	GlowRoad	Shop101	Oberlo	DealShare	Volusion
	Meesho creates e-commerce distribution channel.	GlowRoad is a social selling platform that provides earning opportunities for Indian women and small businesses.	Shop101 is a social commerce platform intended to create a mobile storefront for small and individual sellers.	Oberlo is a company operating an online marketplace for entrepreneurs to search and find products to sell online.	DealShare is an online marketplace for consumer goods.	Volusion is a provider of e-commerce solutions for business types ranging from startups to large enterprises.
Founding Date	2015	2017	2015	2015	2018	1999
Type	Private	Private	Private	Subsidiary	Private	Private
Tags	Retail Technology app development ecommerce platform social networks	Retail Technology ecommerce platform social networks	Technology application software ecommerce logistics platform	Technology ecommerce marketplace platform shipping supply chain	Retail consumer goods distribution ecommerce marketplace	Technology ecommerce enterprise software platform

COMPETITOR ANALYSIS

	Meesho	GlowRoad	Shop101	Oberlo	DealShare	Volusion
Locations	Bengaluru, IN HQ	Bengaluru, IN HQ	Mumbai, IN HQ	HQ Berlin, DE Vilnius, LT	Bangalore, IN HQ Jaipur, IN	Austin, US HQ
Employees	2,279 10% increase	352 2% increase	375 1% decrease	52 2% increase	471 16% increase	181
Twitter followers	4.8 k	N/A	470	22.6 k	31	33.9 k
Number of tweets (last 30 days)	225	N/A	30	1	N/A	18
Employee Rating	★ 3.7	★ 4	★ 3.7	★ 4.5	★ 3.7	★ 2.9

TRAFFIC AND RANKING



Global Rank	Country Rank	Category Rank
#4952	#263	#1
▲ 4683	▲ 287	E-commerce and Shopping > E commerce and Shopping
	India	

Total Visits	Bounce Rate	Pages per Visit	Avg Visit Duration
9.8M	51.76%	5.99	00:03:26

TRAFFIC AND RANKING

Traffic & Engagement Last Month

Total Visits
9.8M

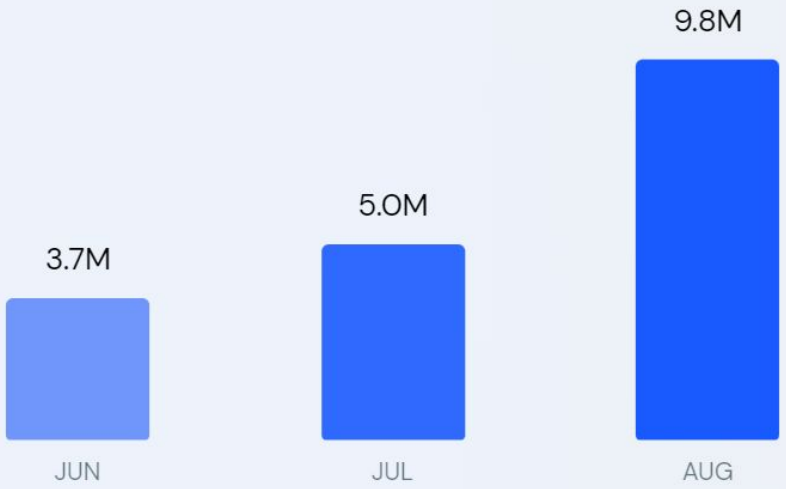
Last Month Change
94.42% ▲

Avg Visit Duration
00:03:26

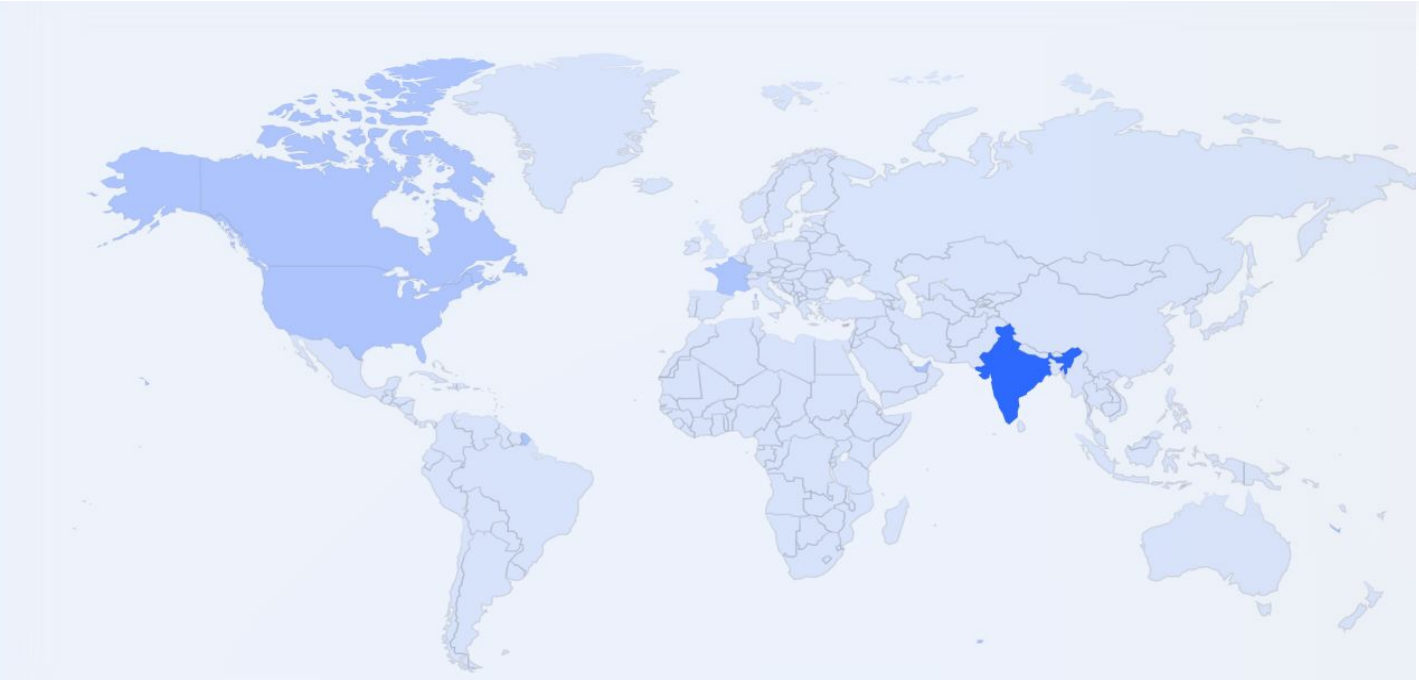
Bounce Rate
51.76%

Pages per Visit
5.99

Total Visits Last 3 Months



GEOGRAPHY AND COUNTRY TARGETING



India
97.14% ▲ 147.4%

United States
0.92% ▼ 5.67%

United Arab Emirates
0.35% ▲ 10.65%

France
0.15% ▼ 20.82%

Canada
0.15% ▲ 419.3%

Others
1.30%

MORE COMPANY ANALYSIS & INDUSTRY REPORTS COMING SOON

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